



LUANSHYA MUNICIPAL COUNCIL



ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

14TH Street Zaone Avenue
P.O. Box 90140
Luanshya

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LUANSHYA MUNICIPAL COUNCIL
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No.	NAME	GENDER	POSITION	WARD
1	Charles Mulenga	Male	Mayor	Not applicable
2	Angel Edward Kahale	Male	Deputy Mayor	Lumumba
3	Samson Kombe	Male	Councillor	Baluba
4	Allan Mumba	Male	Councillor	Fisenge
5	Nelius Simfukwe	Male	Councillor	Chitwi
6	Charles Mwila	Male	Councillor	Twashuka
7	Meran Bwalya	Male	Councillor	Buntungwa
8	Austin Zimba	Male	Councillor	Kamuchanga
9	Raban Mulaisho	Male	Councillor	Mwaiseni
10	Paul Mulenga	Male	Councillor	Mulungushi
11	Emmanuel Chewe	Male	Councillor	Zambezi
12	Nelson Choondwe	Male	Councillor	Mikomfwa
13	Clara Mutale	Female	Councillor	Levi Chito
14	Evans Mulusa	Male	Councillor	Mipundu
15	Noel Chitenta Mwansa	Male	Councillor	James Phiri
16	Chisanga Chisanga	Male	Councillor	Buteko
17	Fred Sakala	Male	Councillor	Mpelembe
18	Bentry Chisha	Male	Councillor	Chawama
19	Moses Silungwe	Male	Councillor	Maposa
20	Joseph Nsama	Male	Councillor	Kawama
21	Shadreck Nkonde	Male	Councillor	Nkoloma
22	Alicks Mafuta	Male	Councillor	Kafubu
23	Elton Zuze	Male	Councillor	Chilabula
24	Carlos Lungu	Male	Councillor	Kafue
25	Paul Mwila	Male	Councillor	Justine Kabwe
26	Brian Mwape	Male	Councillor	Nkulumashiba
27	Godfrey Mwewa	Male	Councillor	Mpatamatu
28	Angela Kayekesi	Female	Councillor	Milyashi
29	Richard Sendoi	Male	Councillor	Ngebe
30	Abel Mfune	Male	Councillor	Kansengu
31	Derrick Chibwe	Male	Councillor	Buyantanshi

The District also has two (2) elected Members of Parliament one for Luanshya Central Constituency and the other for Roan Constituency. The Members of Parliament that held office since elections were:

S/N	NAME	GENDER	CONSTITUENCY
1	Lusale Simbao	Male	Luanshya
2	Joel Chibuye	Male	Roan

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review the Luanshya District had Mr. Ngonomo Oncemore as District Commissioner.

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The Council Secretariat

The Secretariat of Luanshya Municipal Council is headed by the Town Clerk. The Town Clerk and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Town Clerk is assisted by seven (7) Directors responsible for Legal, Finance, Planning, Engineering, Public Health, Human Resource and Administration, and Housing and Social Services and two (2) Heads of Units namely Procurement and Internal Audit.

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the district and discharge all or any of the functions set out in Article 147 (2) (c) of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2024	2023
	Kwacha	Kwacha
Cash Receipts	110,497,404	120,002,893
Payments	145,506,429	110,084,656
Increase/(decrease) in Cash and Cash Equivalents	<u>(35,009,025)</u>	<u>9,918,237</u>

Key Policies Adopted During the Year

The Council adopted the following policies during the year:

- Introduction of fees and charges for renting of Council and subdivision of property.
- Upward adjustment of fuel by 6.4% to which increased cost of service delivery.
- Upward adjustment of the electricity tariffs which resulted also in the increased cost of service delivery.

Related Party Transactions

The Council paid K1,080,000 to Councilors as Councilors monthly allowance and K1,647,143 to Senior Management for their monthly remuneration.

Property, Plant and Equipment

The Council purchased property, plant and equipment amounting to K46, 512, 082.

No property, plant and equipment were disposed of during the year.

Intangible Assets

The Council did not procure any intangible assets during the period under review.

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Employees

The Council had 615 employees at the beginning of the year and has 582 employees at end of the year. The total amounts spent on employees' remuneration and welfare during the was K54,636,979

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year incurred K178, 257 towards sponsoring various sporting activities.

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature

Name: Charles Mulenga

Position: Mayor

Date.....2025



LUANSHYA MUNICIPAL COUNCIL
ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENT

The Luanshya Municipal Council is responsible for preparing the financial statements for the year ended 31st December 2024 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from the Local Authorities Accounting Policies (LAAPs) of 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 6 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and the Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Luanshya Municipal Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of financial statements that present fairly the financial results of the Municipal Council for the financial year ended 31st December 2024.

Signed on behalf of the Council on1.2.NOV.2025.....2025 by;

Name: **Charles Mulenga**

Signature:

Position: Mayor

Name: **David Silwamba**

Signature:

Position: Director of Finance

HIS WORSHIP **Name: Sombo Kawilila**
P.O. BOX 90140, LUANSHYA

Signature:

Position: Town Clerk





**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No. 7951
HAILE SELASSIE AVENUE
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditor@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To the Minister – Ministry of Local Government and Rural Development

Report on the Audit of Luanshya Municipal Council Financial Statements for the Financial Year Ended 31st December 2024

Opinion

I have audited the financial statements of Luanshya Municipal Council for the financial year ended 31st December 2024 which comprise Statement of Cash Receipts and Payments, Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) and a summary of significant accounting policies and disclosures and other explanatory information.

In my opinion, the accompanying financial statements of Luanshya Municipal Council present fairly, in all material respects, the Statement of Cash Receipts and Payments, Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) for the year ended 31st December 2024 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the amended Local Authorities Accounting Policies (LAAPs).



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am independent of Luanshya Municipal Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them.

However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing Luanshya Municipal Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Luanshya Municipal Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on Luanshya Municipal Council's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, the going concern of Luanshya Municipal Council is dependent on the government policy decision.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Luanshya Municipal Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund (LGEF), the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF), Statement of Cash Receipts and Payments for Zambia Devolution Support Programme (ZDSP) and Statement of Cash Receipts and Payments for Sector Grant (Devolved Functions) using Cash Basis IPSAS in line with the LAAPS.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE

ACTING AUDITOR GENERAL

OFFICE OF THE AUDITOR GENERAL

Date: 13/11/2025

LUANSHYA MUNICIPAL COUNCIL
ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024
STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2024

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Local Taxes	2	39,997,433	34,735,934
Fees and Charges	3	6,129,285	7,178,164
Licences	4	574,198	1,156,874
Levies	5	1,775,251	202,417
Permits	6	2,164,262	1,467,238
Local Government Equalisation Fund	7	11,573,704	11,719,917
Constituency Development Fund	8	38,764,117	56,396,442
Other Grants	9	250,000	2,654,019
Borrowings	10	-	-
Commercial Venture	11	22,353	21,086
Sector Grant (Devolved Functions)	12	9,163,767	-
Other Receipts	13	83,034	4,470,802
TOTAL RECEIPTS		110,497,403	120,002,893
PAYMENTS			
Personal Emoluments	14	54,636,979	45,908,209
Use of goods and services	15	17,079,073	22,752,020
Financial Charges	16	-	-
Social benefits	17	19,703,064	16,645,288
Non-financial assets acquisition	18	46,382,082	20,936,698
Financial Assets	19	6,858,747	-
Loan Repayments	20	-	-
Other payments	21	846,484	3,842,441
TOTAL PAYMENTS		145,506,429	110,084,656
Increase/(decrease) in Cash		(35,009,026)	9,918,237
Foreign Exchange Losses	22	-	-
Cash at beginning of the year	23	50,975,933	41,057,696
Cash at the end of the year	24	15,966,907	50,975,933

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds, Zambia Devolution Support Programme and Sector Grants. However, the details of payments under each of these funds are presented separately in each fund's own Statement of Cash Receipts and Payments.

Name: Charles Mulenga

Signature:
 Position: Mayor



Name: Sombo Kawilila

Signature:
 Position: Town Clerk

Name: David Silwamba

Signature:
 Position: Director of Finance



**LUANSHYA MUNICIPAL COUNCIL
ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024**

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2024**

	Original Budget	Adjustments	Final Budget	Actual Amounts	% Performance	Variance	% Variance
	Kwacha	Kwacha	Kwacha	Kwacha		Kwacha	
RECEIPTS							
Local taxes	53,579,487	(12,000,000)	41,579,487	39,997,433	96%	(1,582,054)	-4%
Fees and Charges	9,947,156	(2,915,718)	7,031,438	6,129,285	87%	(902,153)	-13%
Licences	612,200	-	612,200	574,198	94%	(38,002)	-6%
Levies	748,594	1,000,000	1,748,594	1,775,251	102%	26,657	2%
Permits	1,905,050	-	1,905,050	2,164,262	114%	259,212	14%
Local Government Equalisation	14,707,634	-	14,707,634	11,573,704	79%	(3,133,930)	-21%
Constituency Development Fund	61,271,284	-	61,271,284	38,764,117	63%	(22,507,167)	-37%
Other Grants	300,000	-	300,000	250,000	83%	(50,000)	-17%
Sector Grant	10,522,977	7,540,854	18,063,831	9,163,767	51%	(8,900,064)	-49%
Commercial Venture	-	-	-	22,353	-	22,353	-
Other Receipts	398,140	(212,000)	186,140	83,034	45%	(103,106)	-55%
TOTAL RECEIPTS	153,992,522	(6,586,864)	147,405,658	110,497,403	75%	(36,908,255)	-25%
PAYMENTS							
Personnel Emoluments	56,813,882	-	56,813,882	54,636,979	96%	(2,176,903)	-4%
Use of goods and services	25,280,924	(7,540,854)	17,740,070	17,079,073	96%	(660,997)	-4%
Financial Charges	-	-	-	-	-	-	-
Social Benefits	14,098,162	7,540,854	21,639,016	19,703,064	91%	(1,935,952)	-9%
Non-financial assets acquisition	50,814,628	(6,586,864)	44,227,764	46,382,082	105%	2,154,318	5%
Financial Assets	6,984,926	-	6,984,926	6,858,747	98%	(126,179)	-2%
Loan Repayments	-	-	-	-	-	-	-
Other Payments	-	-	-	846,484	-	846,484	-
TOTAL PAYMENTS	153,992,522	(6,586,864)	147,405,658	145,506,429	5	(1,899,229)	-1%
Increase/(Decrease in Cash)	-	-	-	(35,009,026)	-	(35,009,026)	-

The composition of budget adjustments and explanations of major variances are provided in note 24.

LUANSHYA MUNICIPAL COUNCIL

ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2024

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	7(a)	<u>11,573,704</u>	<u>11,719,917</u>
TOTAL RECEIPTS		<u>11,573,704</u>	<u>11,719,917</u>
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		12,186,041	9,375,933
Terminal Benefits			-
Utility Bills			-
Service Provision			-
Goods and Services			-
Administrative Costs			-
Other Costs			-
Sub-Total		<u>12,186,041</u>	<u>9,375,933</u>
Capital Expenditure Payments:	7(c)		
Infrastructure Development			404,858
Rehabilitation Works			839,285
Asset Acquisition			229,830
Fixtures and fittings			52,882
Operational Costs:			567,719
Other Costs			38,012
Sub-Total		<u>-</u>	<u>2,132,586</u>
TOTAL PAYMENTS		<u>12,186,041</u>	<u>11,508,519</u>
Increase/(decrease) in cash		<u>- 612,337</u>	<u>211,398</u>
Cash at the beginning of the year		<u>612,337</u>	<u>400,939</u>
Cash at the end of the year		<u><u>-</u></u>	<u><u>612,337</u></u>

LUANSHYA MUNICIPAL COUNCIL

ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2024

		2024	2023
	Note	Kwacha	Kwacha
RECEIPTS			
Funding	8(a)	37,146,249	56,396,442
Loan Repayments	8(b)	1,388,208	578,565
Other sources	8(c)	229,660	932,487
TOTAL RECEIPTS		38,764,117	57,907,493
PAYMENTS			
Infrastructure Development	8(d)	26,818,188	8,497,049
Rehabilitation Works	8(e)	3,975,349	10,560,856
Asset Acquisition	8(f)	14,306,335	1,029,863
Social Benefits	8(g)	4,920,059	4,263,508
Loans	8(h)	6,858,747	12,381,780
Secondary Boarding Schools and Skills Development Bursaries	8(i)	14,740,533	8,873,275
Administrative Costs	8(j)	4,023,728	3,842,441
Other Costs	8(k)	846,484	256,518
TOTAL PAYMENTS		76,489,423	49,705,290
Increase/(decrease) in Cash		- 37,725,306	8,202,203
Cash at beginning of the year		48,537,141	40,334,938
Cash at the end of the year		10,811,835	48,537,141

Note 8 explain the composition and other details relating to the various elements included in this Statement.

LUANSHYA MUNICIPAL COUNCIL

ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR ZAMBIA DEVOLUTION
SUPPORT PROGRAMME (ZDSP) CAPITAL GRANT FOR YEAR ENDED 31ST
DECEMBER 2024**

	Notes	2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	9(a)		
Other Receipts	9(b)		
TOTAL RECEIPTS		<u>-</u>	<u></u>
PAYMENTS			
Goods and Services	9(c)		
Non Financial Asset Acquisition	9(d)		
Infrastructure Development	9(e)		
Rehabilitation works	9(f)		
TOTAL PAYMENTS		<u>-</u>	<u></u>
Increase/(decrease) in Cash		<u>-</u>	<u></u>
Cash at beginning of the year		<u>-</u>	<u></u>
Cash at the end of the year		<u>-</u>	<u></u>

LUANSHYA MUNICIPAL COUNCIL**ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024****STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE SECTOR GRANT
(DEVOLVED FUNCTION) FOR YEAR ENDED 31ST DECEMBER 2024**

	Note	2024 Kwacha	2023 Kwacha
RECEIPTS			
Funding	12(a)	9,095,366	-
Other Sources	12(b)	68,401	-
TOTAL RECEIPTS		9,163,767	
PAYMENTS			
Goods and Services	12(c)	3,828,110	-
Non Financial Asset Acquisition	12(d)	55,585	-
Infrastructure Development	12(e)	916,315	-
Rehabilitation works	12(f)	753,047	-
TOTAL PAYMENTS		5,553,057	
Increase/(decrease) in Cash		3,610,710	
Cash at beginning of the year		-	-
Cash at the end of the year		3,610,710	

LUANSHYA MUNICIPAL COUNCIL
ANNUAL FINANCIAL REPORT FOR THE YEAR ENDED 31ST DECEMBER 2024
SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, Financial Reporting under the Cash Basis of Accounting, issued by the International Public Sector Accounting Standards Board (IPSASB) as required by the Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Luanshya Municipal Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2023/1 – Applicability of International Public Sector Accounting Standards (IPSASs)
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 1st January 2025 with a transition period of three (3) years. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2028.
- (c) Treasury and Financial Management Circular No.18 of 2022 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018.

The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2025 up to 31st December 2027.

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- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January 2025 and should end on 31st December 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act No. 2 of 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Luanshya Municipal Council (LMC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on 11th November 2025 by the ordinary/special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Luanshya Municipal Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act No. 3 of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- Leviable persons owning or occupying property or premises situated within the area of the District;
- Leviable persons carrying on a business, trade or occupation within the area of the District; or
- The purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27(1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act No. 3 of 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements.

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values. The Council recognizes all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalization Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament. The administration of CDF is regulated by the Constituency Development Fund Act No. 1 of 2024. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Sector Grants

These include grants from Devolved functions of the Central Government to the Sub National Level among them; Primary care services (Ministry of Health), Pontoons, Ferries, Jetties and Piers, Harbours, Community sport, Vehicle Licensing (Ministry of Transport & Logistics), Cultural matters (Ministry of Tourism) District Archives (Ministry of Home Affairs), Veterinary Services (Ministry of Fisheries and Livestock)

1.12 Presentation Currency

The presentation currency is Zambian Kwacha.

1.13 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.14 Borrowings

Borrowings comprise of actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.15 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.16 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor, elected councillors, Co-opted members of the Audit and
- (b) The Principal Officers and Chief Officers.

Spouses, children, grandchildren, grandparents, brothers, sisters, parents in law, brothers in law and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises of loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized.

Luanshya Municipal Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Luanshya Municipal Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

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NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated K39, 997,433 as local tax cash receipts as follows:

Local Tax Type	2024 Kwacha	2023 Kwacha
Residential Rates	2,130,089	2,543,350
Industrial / Commercial Rates	6,915,965	6,231,179
Mining Rates	30,821,207	25,888,486
Personal Levy	130,172	72,919
TOTAL	39,997,433	34,735,934

The Council relied on the Valuation Roll updated for the period 2020-2024 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2024 Kwacha	2023 Kwacha
Fees and charges	4,177,809	5,782,377
Land Development Charges	1,951,476	1,395,787
Total	6,129,285	7,178,164

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a. Fees and charges

The Council generated K4, 177,809 in fees and charges as follows: -

Fees and Charges Type	2024	2023
	Kwacha	Kwacha
Consent Fees	59,160	15,400
Survey Fees	28,418	41,368
Building Inspection fees	235,939	187,303
Plan Scrutiny Fees	136,877	128,486
Change of premise use	3,450	2,350
Container Ntemba Fees	1,650	18,385
Rentals/Lease of Council's properties	398,382	526,891
Application Form Fees	425,390	552,011
Rentals from houses	9,600	5,500
Sketch Fees	72,450	1,300
Search Fees	13,300	16,750
Market Fees	553,699	583,140
Parking Fees	175,057	223,390
Bus Station Fees	590,496	682,869
Affidavit Fees	13,000	20,100
Hire of Halls	9,900	12,750
Hire of Grounds	1,250	
Gym Fees	900	
Franchise Fees	6,131	
Grave Reservation		12,700
Recommendation Fees	51,051	
Course fees	2,900	6,700
Refuse Disposal Fees	172,887	123,440
Home Craft Registration		
Library Membership Fees	18,439	23,991
Notice of Marriage	119,868	170,400
Minute Extract	5,300	
Abattoir/Meat Inspection Fees	46,990	33,300
Registration of Clubs and Societies	82,000	40,450
Registration of Suppliers	3,650	
Farm Produce Levy		30
Certification of Documents	2,700	
Communication Mast Levy		157,500
Billboard and Banner	197,132	280,848
Lease of Council Transport	206,489	1,517,513
Penalties	290,628	89,375
Site Rent	176,520	90,000
Change of ownership of plot		190,927
Medical Fees		24,290
Booth levy	9,610	
Craft Registration fees	100	
Other Fees and Charges	56,500	2,920
Total	4,177,809	5,782,377

a. Land Development Charges

The Council collected K1, 951,476 from the following land development related

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Charges Type	2024	2023
	Kwacha	Kwacha
Service charges - residential plots	250,470	39,500
Service charges - Industrial plots	21,150	4,500
Premium plots - Residential	498,129	848,342
Premium plots - Commercial	835,250	286,100
Sub Division	84,500	
Change of ownership	205,439	
Other Charges (Service Charges Debtors)	56,538	217,345
TOTAL	1,951,476	1,395,787

4. Licences

A total of K574, 198 cash receipts was raised from issuance of various licences.

Licence Type	2024	2023
	Kwacha	Kwacha
Business Levy		265,805
Manufacturers licence		227,379
Retail licence		163,709
Wholesale licence		108,485
Liquor licence	36,558	32,020
Stall Licence		1,000
Financial Institution		111,000
Firearm and ammunition licence	20,430	28,550
Petroleum licence	376,500	137,600
Dog licence	1,500	3,075
Occupancy licence	139,210	42,000
Other licences		36,250
TOTAL	574,198	1,156,874

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5. Levies

The Council generated K1, 775,251 as cash receipts by charging levies as follows:

Type of Levy	2024 Kwacha	2023 Kwacha
Bird Levy	65,770	24,000
Pole Levy	10,760	
Telecommunication mast	211,500	
Business Levy	1,022,301	
Manufacturers licence	52,218	
Retail licence	104,158	
Wholesale licence	145,177	
Stall Licence	81,718	
Financial Institution	16,000	
Commercial Banks	57,000	
Miscellaneous levies	8,650	178,417
TOTAL	1,775,251	202,417

6. Permits

The Council generated K2, 164,262 as cash receipts from issuing various permits as follows:

Type of Permit	2024 Kwacha	2023 Kwacha
Health Permit	912,143	576,077
Opaque Permit	8,250	11,900
Milk Transportation Permit		1,200
Fire Certificates	920,708	546,926
Burial Permits and Grave sites	283,391	279,580
Extension of business hours permits	1,450	3,000
herbalist Permit	300	
Public permits (social gatherings, etc)		
Other Permits	38,020	48,555
TOTAL	2,164,262	1,467,238

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7. Local Government Equalization Fund

a. Funding

Detailed report for Local Government Equalisation Fund received in 2024

No.		2024 Kwacha	2023 Kwacha
1	1st Funding	1,053,650	992,936
2	2nd Funding	995,157	957,404
3	3rd Funding	1,053,258	849,687
4	4th Funding	1,043,042	994,033
5	5th Funding	1,072,785	1,000,885
6	6th Funding	978,842	970,135
7	7th Funding	885,842	994,823
8	8th Funding	903,373	1,001,197
9	9th Funding	899,706	1,002,049
10	10th Funding	909,174	1,001,198
11	11th Funding	910,500	960,872
12	12th Funding	868,375	994,698
		<u>11,573,704</u>	<u>11,719,917</u>

b. Operational Expenditure

The Council applied amounts totalling K11, 573,704 of LGEF receipts towards meeting operational expenses representing 100% of the total LGEF funding for the reporting period and K612,337 balance brought forward from the previous financial year. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council had no expenditure of a capital nature from the LGEF.

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8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows:

a) CDF Funding

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	22,146,249	28,198,221
Roan	15,000,000	28,198,221
CDF Grants	37,146,249	56,396,442

b) Empowerment Loan Repayments

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya Revolving	624,035	287,920
Roan Revolving	734,173	290,645
Total Empowerment Loan Funding	1,358,208	578,565

c) Other CDF Sources of Funding

Other CDF Sources of funding consisted of interest earned on the amounts held CDF bank accounts

Constituency	Kwacha	Kwacha
Luanshya	72,340	401,210
Roan	76,725	445,274
Luanshya Revolving	38,753	40,948
Roan Revolving	41,841	45,055
Total CDF Other Sources of Funding	229,660	932,487

d) Infrastructure Development

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	14,187,142	3,880,872
Roan	12,631,046	4,616,177
Total Infrastructure Development	26,818,188	8,497,049

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e) Rehabilitation Works

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	219,459	5,518,200
Roan	3,755,890	5,042,656
Total Rehabilitation Works	3,975,349	10,560,856

f) Asset Acquisition

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	10,198,204	396,000
Roan	4,108,132	633,863
Total Assets acquired	14,306,335	1,029,863

g) Social Benefits

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	2,625,059	2,071,652
Roan	2,295,000	2,191,856
Total Social benefits	4,920,059	4,263,508

h) Loans

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	3,453,747	6,243,164
Roan	3,405,000	6,138,617
Total Empowerment Loans	6,858,747	12,381,780

i) Skills and Bursaries

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	7,497,706	4,199,729
Roan	7,242,827	4,673,547
Total Skills and Bursaries	14,740,533	8,873,275

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j) Administrative Costs

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	1,823,577	1,769,053
Roan	1,993,748	1,973,563
Luanshya Revolving	101,452	2,592
Roan Revolving	104,950	97,233
Total Administrative Costs	4,023,727.86	3,842,441

Note that the Administration Cost includes 3 percent charged on the revolving account and the interest accrued on the CDF main account that is deposited into the Control 99 account under the Ministry of Finance and National Planning.

k) Other Costs

	2024	2023
Constituency	Kwacha	Kwacha
Luanshya	401,210	256,518
Roan	445,274	
Total Other Costs	846,484	256,518

During the period under review, the Council made payments to control account under CDF as interest accrued in the CDF Accounts for the year 2024 totaling to K846, 484.

9. Other Grants

During the year, the Council received a Grant from the Ministry for Repair of Bridges in the District. The Grant is tabulated below.

Revenue Source	2024	2023
	Kwacha	Kwacha
Grants in Lieu of Rates	250,000	
Other Grant		2,654,019
TOTAL	250,000	2,654,019

10. Borrowings

During the year under review, the Council had no undertaking with any lending institution.

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11. Council Commercial Venture

This consists of receipts and payments relating to operations of Baluba Motel owned by the Council. However, the Council had a surplus of K22, 353.00

	2024	2023
	Kwacha	Kwacha
Receipts		
Tailoring Sales Receipt	111,974	75,800
Bar Sales Receipt	58,761	8,232
Baluba Motel Rentals	14,398	1,500
Truck parking	64,106	25,539
Fish sales		4,900
Others	1,000	1,010
TOTAL	250,239	116,981
Payments		
General Administration	46,451	28,432
Bar Stocks	91,980	14,790
Tailoring Materials	80,750	32,033
Wages	8,705	16,449
Others		4,191
TOTAL	227,886	95,895
Surplus/deficit	22,353	21,086

12. Sector Grants (Devolved Functions)

The Council received Grants totaling K9,095,366 in its bank accounts from the Treasury for the Devolved Functions of the Central Government broken down as follows:

(a) Funding

	2024	2023
	Kwacha	Kwacha
Devolved Function		
Primary Health Care Services	1,966,056	-
Community Sport	215,517	-
District Archives (Home Affairs)	14,431	-
Veterinary Services	114,036	-
Roads Grant	1,715,472	-
Cash for Work	5,069,854	-
TOTAL	9,095,366	-

(b) Other Sources

Other sources of income include Animal postmortem and Stock Movement from Veterinary Department.

	2024	2023
	Kwacha	Kwacha
Devolved Function		
Veterinary Services		
Animal Postmortem	34,529	-
Stock Movement	33,872	-
TOTAL	68,401	-

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(c) Good and Services

	2024	2023
Devolved Function	Kwacha	Kwacha
Primary Health Care Services	1,199,831	-
Community Sport	128,729	-
Veterinary Services	227,069	-
Roads Grant	14,084	-
Cash for work	2,258,397	-
TOTAL	3,828,110	-

(d) Non -Financial Asset Acquisition

	2024	2023
Devolved Function	Kwacha	Kwacha
Primary Health Care Services	55,585	-
TOTAL	55,585	-

(e) Infrastructure Development

	2024	2023
Devolved Function	Kwacha	Kwacha
Roads Grant	916,315	-
TOTAL	916,315	-

(f) Rehabilitation

	2024	2023
Devolved Function	Kwacha	Kwacha
Primary Health Care Services	53,221	-
Roads Grant	699,826	-
TOTAL	753,047	-

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13 Other Receipts

The Council received amounts totaling K83, 034 in its Bank Accounts interests and Donations. Therefore, the amounts in question could not be recognized under any particular class of receipts in the financial statements except as 'other receipts'.

	2024	2023
	Kwacha	Kwacha
Donation	39,000	2,510,000
Masaiti District		362,618
Luanshya Consistuecy		287,920
Roan Constituency		290,645
Lyanshya Revolving		
Roan Revolving		932,487
Other Income	44,034	87,132
	<u>83,034</u>	<u>4,470,802</u>

14 Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. Other Wages encompasses money paid as Councillors Allowances, Long Service bonus, Terminal benefits, and Gratuity as well as Leave days to former and current employees respectively. The Council had categories of staff that were paid as follows:

Grade	2024	2023
	Kwacha	Kwacha
Salaries Division 1	10,325,937	8,238,190
Salaries Division 2	8,428,962	8,335,689
Salaries Division 3	9,440,830	7,288,355
Wages- Division 4	14,248,529	14,232,099
Other wages	12,192,721	7,813,876
TOTAL	<u>54,636,979</u>	<u>45,908,209</u>

15. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities as well as CDF expenses posted to respective codes.

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Expenditure Type	2024	2023
	Kwacha	Kwacha
Office Running Costs	1,693,866	1,139,132
Building, Repair and Maintenance Costs	981,925	378,204
Plant, Machinery and Vehicle Running and Maintenance Cost	1,808,040	1,699,592
Other Administrative operating costs	3,583,618	738,066
Requisites	2,237,679	2,967,060
Services	2,212,761	12,800,683
Travel expenses	3,737,167	2,059,894
Training	289,116	277,579
Other costs	534,902	691,810
TOTAL	17,079,073	22,752,020

16. Financial Charges

The Council had no financial charges paid during the year under review.

17. Social Benefits

During the year under review, the Council paid an amount totalling K19,703,064 as Social benefits to various beneficiaries for Youth and Women empowerment grants, skills Developments and Secondary bursaries under Luanshya and Roan constituencies.

	2024	2023
	Kwacha	Kwacha
Empowerment Grants	4,920,059	16,645,288
Skills and Bursaries	14,783,005	
TOTAL	19,703,064	16,645,288

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18 Non-financial Asset Acquisition

Non-financial Asset Acquisition involved the following payments:

	2024	2023
	Kwacha	Kwacha
Computers and Peripherals (Printers)	91,880	21,000
purchase Garbage Compactor	100,551	141,000
purchase of a mower		23,500
CDF Assets	14,323,209	
CDF Infrastructure	26,847,498	8,497,049
CDF Rehabilitation	3,967,639	10,560,856
Rehabilitation of Buildings and Fixtures	484,005	642,850
Office furniture		1,050,443
Sector Infrastructure	516,315	
Sector Assets	50,985	
TOTAL	46,382,082	20,936,698

19 Financial Assets

The Council did give out CDF empowerment loans to various cooperatives under Luanshya Central and Roan constituencies amounting to K6, 858,747 during the period under review.

	2024	2023
	Kwacha	Kwacha
Constituency		
Luanshya Central Constituency	3,453,747	
Roan Constituency	3,405,000	
TOTAL	6,858,747	-

Note: The 2023 CDF empowerment loans were accounted for under social benefits.

20 Loan Repayments

The Council had no loan with any institution.

21 Other Payments

During the period under review, the Council made payments to control account under CDF as interest accrued in the CDF Accounts for the year 2024 totaling to K846, 484.

	2024	2023
	Kwacha	Kwacha
Constituency		
Luanshya Costituency	401,210	
Roan Constituency	445,274	3,824,441
TOTAL	846,484	3,824,441

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22 Foreign Exchange Losses

These arise from transactions made in other currencies and determined by reconciling opening cash to closing cash balances

23 Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2024	2023
	Kwacha	Kwacha
Cash on hand	4,471	45,516
Demand Deposits	15,962,436	50,930,417
Cash equivalents		
TOTAL	15,966,907	50,975,933

a. Cash on hand

The Council's cash on demand was made of cash collections and petty cash:

	2024	2023
	Kwacha	Kwacha
Cash collections undeposited	4,471	45,516
Petty Cash		-
TOTAL	4,471	45,516

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b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2024:

Account Name	Account No	2024 Kwacha	2023 Kwacha
Levies Account	Atlasmara -0310100900009	4,131	1,505
Operations Account	Atlasmara-0310476108015	4518.24	584
Transit Account	Atlasmara-0310577924001	30,311	28,786
Project Fund A/C	Zanaco-0120321300172	9,593	154,233
Markets Account	Zanaco-0532898300108	24,229	453,823
Transit Account	Zanaco-5703833300356	220,163	15,397
Operations Account	Zanaco -5703833300255	53,935	28,970
Fire Account	Zanaco-5703833300154	3,880	1,948
Luanshya Constituency Account	Zanaco-0120204300186	5,118,611	23,344,841
Roan Constituency Account	Zanaco-1379123300178	3,807,593	24,687,784
Salaries Account	Zanaco-1102109300146	1,137,590	1,524,599
Commercial Account	Barclays-0000001081359	1,277	35,672
Main Ward Account	Atlasmara-0310437447016	0	3,067
Baluba Investments	Zanaco-5693307500152	0	6,805
Baluba Motel	Zanaco-5923684300110	44,215	17,835
ZNBS	ZNBS-06714182233201-0	1,981	2,829
Capital ZNBS-LGEF	ZNBS-0671237303201-0	1,338	117,222
Luanshya Revolving Account	Natsave-3060178807501	873,932	243,881
Roan Revolving Account	Natsave-3060178799501	1,011,699	260,636
Sector Grant	Natsave-	3,610,710	
Commercial Venture	Natsave-	2,728	
TOTAL		15,962,436	50,930,417

c. Cash Equivalents

The Council didn't hold any treasury bill at the end of the year under review.

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24 Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 2nd March 2024. There was a budget variation made in the year under review as follows:-

	Approved Supplementary Kwacha	Approved Variation Kwacha	Total Adjustments Kwacha
RECEIPTS			
Local taxes		(12,000,000)	(12,000,000)
Fees and Charges		(2,915,718)	(2,915,718)
Licences		-	-
Levies		1,000,000	1,000,000
Permits		-	-
Local Government Equalisation Fund		-	-
Constituency Development Fund		-	-
Other Grants		7,540,854	7,540,854
Sector Grant		-	-
Commercial Venture		-	-
Other Receipts		(212,000)	(212,000)
TOTAL RECEIPTS		(6,586,864)	(6,586,864)
PAYMENTS			
Personnel Emoluments		-	-
Use of goods and services		(7,540,854)	(7,540,854)
Financial Charges		-	-
Social Benefits		7,540,854	7,540,854
Non-financial assets acquisition		(6,586,864)	(6,586,864)
Financial Assets		-	-
Loan Repayments		-	-
Other Payments		-	-
TOTAL PAYMENTS		(6,586,864)	(6,586,864)
Increase/(Decrease in Cash		-	-

b. Budget Variance

• **LGEF**

The Council budgeted to receive K14,707,634 from the Ministry of Finance as Local Government Equalization Fund but received K11,573,704 variance of 21%. The variance was to some statutory obligations deducted from source.

• **CDF**

The Council budgeted to receive K61,271,284 from the Ministry of Finance as CDF Funding but received K38,534,457 resulting in a negative variance of 37%. The variance was a result of the Ministry of Finance non remittance of budgeted allocation.

• **Other Receipts**

The Council budgeted to generate K186,140 as other receipts but collected K83,034 resulting in a negative variance of 55%. The variance was due to less collections on donations and other income as per expected budget.

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25 Provision of Services

The Municipal Council incurs expenditure to offer services. The Council is mandated to provide service to the residents of Luanshya District. The following were the services rendered:

Type of Services	2024 Kwacha	2023 Kwacha
Wages - Div IV	14,248,529	14,469,700
Building Maintenance (Maitenance,consumables,Cleaning)	1,014,925	56,963
Petrol ,Oil and Lubricants	1,505,172	797,045
Servicing of Grader/Fire Tender	230,695	199,466
Spare Parts	246,750	71,562
Tyres	107,964	100,490
Repairs	165,774	25,325
Insurance	124,170	62,045
Boards Councils and Committees allowances	661,148	237,589
Hand tools and equipment	372,579	47,549
Protective Wear, Clothing and Uniforms	124,417	152,310
Street light equipment	1,750,700	2,340
Road maitenance materials	1,878,869	1,282,141
Insecticides		1,000
Veterinary Materials		
Nuseries		
Mayors donation		88,950
Audit fees		600
Printing		
Advertising and Publicity.	104,238	34,097
Public functions and ceremonies	286,373	115,479
Public libraries and community		
State Fuctions		3,500
Board,Council and Committee expenses		2,300
Relief,Repatriation and Burial of Destitutes	27,248	29,990
Cultural Promotions	1,000	1,000
Staff Welfare and Recreation	178,257	353,043
Land Demarcation and Survey	61322.34	
Bush Clearing and Grass cutting/Wards	135,000	10,000
Development & Maitenance of Cementaries		
Valuation of properties		2,298,003
Labour day expenses and Awards	93,800	74,839
Creation and Maitenance of Parks	10112	
Provision of Fire services	132,997	158,892
Waste and Refuse collection	272,421	206,570
In and outdoor Spraying and disfection		
Conferences,Seminars and Workshops	1400	
Bank charges	297,564	169,840
Ward Development Funding	219,850	215,850
Drainage System		
Market facilities		
Other services(CDF)	43,645,378	51,746,481
Industrial Buildings	26,206,001	1,658,833
Other Machinery and Equipment	15917916.46	
Other specialised Vehicles	100,551	141,000
	110,123,120	74,814,792

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26 Property, Plant and Equipment

The Council had property, Plant and Equipment valued at K114, 756, 571

	Office and Fixtures K	Land and Buildings K	Plant & Machinery K	Intangibl e Assets K	Motor vehicles K	TOTAL K
Opening balance	3,198,853	60,313,004	3,844,774	35,030	852,826	68,244,488
Additions	14,596,074	31,815,457	100,551			46,512,082
Revaluation	-					
Re-classification	-					-
Disposal	-	-				-
Total	17,794,928	92,128,461	3,945,325	35,030	852,826	114,756,571
Depreciation						-
Closing balance	17,794,928	92,128,461	3,945,325	35,030	852,826	114,756,571

27 Investments in Other Entities

The Council had no investments held in any entity for the period under review.

28 Administered Transactions

The Council did not administer any transaction with other institutions in the period under review.

29 Related Party Disclosures

The following disclosures are made in the financial statements of Luanshya Municipal Council:

a. Fringe Benefits Disclosures

The Mayor was provided with a "Ceremonial Vehicle", an office and personal secretary. He was also entitled to Sitting Allowance of K84,000 and transport refund of K14,400. The Town Clerk was also provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councillors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Luanshya Municipal Council are:

Aggregate Remuneration	K1,080,000
Number of persons	30

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K1,647,143
Number of persons	8

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

30 External Assistance

During the period under review the Local Authority did not receive any external assistance.

31 Third Party Payments

Luanshya Municipal Council during the period under review did not engage in any party's transactions.

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APPENDICES

ASSETS

Assets acquired in the year under review include the following: _

No.	Asset	Project	Amount Spent
1	Baluba Community School	Construction of an Ablution Block	612,414.00
2	Elohim Primary School	Electrification	276,565.40
3	Kasongo Combined School	Electrification	528,000.25
4	kamirenda primary School	Construction of an Ablution Block and Water Reticulation	665,000.00
5	Twashuka market	Construction of an Ablution Block	608,436.44
6	Buntungwa market	Construction of an Ablution Block	210,890.70
7	Chitwi Market	Construction of an Ablution Block	210,890.70
8	Mipundu ward	Construction of a drainage	727,929.36
9	Misaka ward	Construction of a foot bridge	303,208.92
10	Mpatamatu market	Rehabilitation	3,403,236.67
11	Roan Market	Rehabilitation	3,138,763.24
12	Chendamaunga	Construction of a Mortuary	1,546,901.80
13	Chendamaunga primary School	Construction of 1X 2 CRB	642,770.15
14	Mpata Hills	Road Grading	846,846.00
15	Chilabula Clinic	Construction of maternity wing	1,812,373.55
		Total Cost	15,534,227.18

A. DEBTORS

The council has a total of **K14,728,685** as at 31st December 2024 from Owners rates, Rentals levies, Plots and Bill Boards as per schedule below:-

No.	Details	B/F From 2023	Accruals In 2024	Total	Payment	Balance
1	DEBTORS		-			-
1	Owners Rates	12,425,913	574,361	13,000,275	193,448	12,806,826
2	Rentals (All Tenants)	1,244,135	787,632	2,031,767	408,687	1,623,080
3	Levies	79,357		79,357	79,357	0
4	Plots (All Categories)	1,604,999	0	1,604,999	1,604,999	0
5	Bill Boards	181,798	172,645	354,443	55,665	298,778
	Sub Total	15,536,203	1,534,638	17,070,841	2,342,156	14,728,685

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B. SUPPLIERS OF GOODS AND SERVICES

As at 31st December 2024 the Council owned different suppliers of goods and services a total amount of **K5,483,213**.

S/N		2024	2023
1	Kwasco- Water Bills		2,245,420
2	Enias Chulu		330,520
3	Namwali Lodge		152,470
4	Nilkant Filling Station		48,395
5	Roan General Hospital		89,072
6	Shadrack Mwanza		3,750
7	Chindomu Gen Dealers		18,260
9	Pols General Dealers		8,100
10	Martha Mushina		25,000
11	W.K. Enterprise		117,650
12	Presolid Investment		74,860
13	Giant Steel Ltd		8,708
14	Mabmuk		1,737
15	Omwa		2,500
16	Graceland Enterprises		64,580
17	Zambia Daily Mail		35,707
18	Cfao Zambia		5,499
19	Line Link Africa		12,120
20	Mariachi Imports		5,645
21	Lawrence Mwewa		7,115
22	House Of Luanshya		1,126
23	Astrol Holdings		2,910
24	Preconstancy General Dealer		65,900
25	Jordan Imports		19,650
26	Zamnet		19,000
27	Yellowqwip		14,398
28	Norwell Gen. Dealers		19,975
29	Tibs Enterptises		7,200
30	Moka Tailors		36,685
31	Muvi Tv		230,634
32	Palmsoft		3,189
33	Luanshya Hospital		7,503
34	Jordan Imports		10,938
35	Mission Press		55,508
36	Kabronko		11,750
37	Luanshya Lab Equipment		7,600
38	Conmac Suppliers		78,500
39	Times Printpak		172,470
40	Hommies Investment Ltd		15,750
41	Sebenza Nawe		169,565
42	Government Valuation Dep		4,500
43	Neatoch Limited		93,600
45	Kafkan Electronics		5,250
46	Baywatch Inves Ltd		8,400
47	Znbc		24,128
48	Mishmark Zambia Limited		24,975
49	Freestop Enterprises		126,250
50	Ndatecha General Dealers		2,200
51	Wk Enterprises		16,060
52	One Stop Tyre Express Limited		49,360
53	Kalotech Enterprises		132,000
54	Lwamfwehardware Limited		151,150
54	Freestop Enterprises		8,750
55	Keelz Investment Limited		25,900
56	Omwa Enterprises		3,100
57	Grama Technologies		6,500
58	Linelink Africa Enterprises		17,260
59	Epitome Investments Limited		77,000
60	Chicle Contractors And General Dealers		22,500
61	M.C Michel Engineering And Contractors Ltd		38,800
62	Mishmark Zambia Limited		58,765
63	Seewnum Enterprises Limited		53,490
64	Miles Ahead Technocrats Ltd		25,915
65	Dt Legal Practioner (Hellen Banda)		300,000
		-	5,483,213

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C. STATUTORY OBLIGATIONS

As at 31st December 2024 the Council had unremitted statutory obligations amounting to K155,624,460

No. Details	2024	2023
1 Staff Creditors		
1 Long Service Bonus	2,087,455	5,296,921
2 Retirees Benefits	11,830,590	9,099,338
3 Settling In Allowance		155,809
Sub Total	<u>13,918,046</u>	<u>14,552,068</u>
2 Statutory Obligations		
1 Madson Life	1,453,953	247,514
2 Zulawu	84,816	7,522
3 Lasf	8,440,656	8,680,656
4 Napsa	24,430,126	19,970,069
5 Napsa-Interest/Penalties	79,094,428	79,094,428
6 Zra	27,911,050	23,910,679
7 Ffluz		10,964
8 Zctu	237,180	230,355
9 Nhima	54,206	48,451
10 Muvi Tv		200,634
11 Madson Grz		1,057,831
Sub Total	<u>141,706,415</u>	<u>133,459,102</u>
Grand Total	<u>155,624,460</u>	<u>148,011,170</u>